in FY 2014-15 to approximately ₹6.27 trillion in FY 2025-26, while exports rose from ₹15.66 billion to about ₹2.60 trillion. Mobile phones moved from the 153rd-largest export item in FY 2014-15 to India's largest individual export product in FY 2025-26.

India is now the world's second-largest mobile-phone manufacturer. The electronics-manufacturing ecosystem supports nearly 2.5 million jobs, with women accounting for nearly 30 per cent of the workforce; the mobile-manufacturing ecosystem supports around 12 lakh direct and indirect jobs, with women comprising nearly 70 per cent of the direct workforce.

The next phase is also supported by the Mobile Phone Manufacturing Scheme, approved on July 15, 2026, with an outlay of ₹625 billion for FY 2026-27 to FY 2030-31. Incentives range from 2.25 per cent to 5 per cent on eligible sales, with an additional incentive of up to 1.5 per cent linked to domestic sourcing of key components and sub-assemblies. The emphasis is shifting from handset volume toward greater value creation within India.

Components: Where the value hides

A sophisticated electronic product depends on a broad component ecosystem: semiconductor devices, PCBs, displays, camera modules, passive components, connectors, sensors, batteries and electromechanical parts. The same is true for automobiles, telecom equipment, medical devices, industrial controls and computing systems.

The Electronics Components Manufacturing Scheme (ECMS) is intended to push domestic manufacturing deeper into this value chain. The Union Budget 2026-27 raised the scheme's outlay to ₹400 billion. The scheme covers display and camera-module sub-assemblies, multi-layer and advanced PCBs, passive and electromechanical components, lithium-ion cells for digital applications, optical transceivers and electronics-manufacturing capital goods. By August 2026, 106 applications had been approved, representing ₹695.48 billion in investment and about 74,600 direct jobs.

The inclusion of manufacturing equipment matters because a mature ecosystem must increasingly develop the machines, processes and production technologies required to make electronics. Deeper component capability can increase domestic value addition, shorten supply chains, improve resilience and create specialised engineering knowledge.

Critical materials: The hidden dependency

The localisation story extends upstream. Rare-earth permanent magnets are used in advanced electronics, electric vehicles, renewable-energy equipment, aerospace and defence applications. India's dependence on imported high-performance magnets has therefore become an industrial and supply-chain issue.

The Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets, approved on November 26, 2025, with an outlay of ₹72.80 billion, targets 6000 metric tonnes per annum of integrated domestic manufacturing capacity, from rare-earth oxides to finished magnets.

The broader lesson is that electronics resilience depends on materials that may never appear in a finished-product label but can determine whether production continues during a disruption.

Chips: From approval to production

Semiconductors sit inside almost every modern electronic system, from smartphones and automobiles to medical equipment, telecom networks, industrial automation, satellites, defence systems, data centres and AI infrastructure.

India's semiconductor story is now moving beyond approvals. As of September 2026, 12 semiconductor projects have been approved under Semicon 1.0 across six states, representing investment commitments exceeding ₹1.64 trillion. Five of those 12 projects had commenced commercial production, following the September 17 inauguration of additional commercial production lines at CDIL Semiconductor in Mohali and Suchi Semicon in Surat. This marks a visible shift from policy intent toward manufacturing.

The AI connection makes this more significant. AI infrastructure requires processors, memory, power electronics, networking, and high-performance computing, while AI is also influencing semiconductor design and manufacturing. India's semiconductor and AI ambitions are increasingly part of one technological ecosystem.

Semicon 2.0: Beyond the fab

Approved on July 15, 2026, with an outlay of ₹1.27 trillion, Semicon 2.0 is organised around six pillars: design, semiconductor equipment and materials, fabrication facilities (fabs), advanced packaging, research and development, and talent.

A semiconductor facility cannot operate in isolation; it depends on specialised equipment, chemicals, gases, substrates, packaging, testing, design tools, intellectual property and skilled engineers. Long-term success will therefore depend not only on fabs, but on the surrounding ecosystem.

India already has a substantial semiconductor engineering and design talent base. The next opportunity is to translate more of that capability into India-owned intellectual property and commercial products: fabless companies, product start-ups, systems-on-chip,